

# STATE OF NEW YORK

1417--B

2025-2026 Regular Sessions

## IN ASSEMBLY

January 9, 2025

Introduced by M. of A. ROSENTHAL -- read once and referred to the Committee on Housing -- committee discharged, bill amended, ordered reprinted as amended and recommitted to said committee -- again reported from said committee with amendments, ordered reprinted as amended and recommitted to said committee

AN ACT to amend the general business law, in relation to the use of algorithmic pricing by a landlord for the purpose of determining the amount of rent to charge a residential tenant

The People of the State of New York, represented in Senate and Assembly, do enact as follows:

1 Section 1. The general business law is amended by adding a new section  
2 340-b to read as follows:

3 § 340-b. Agreements to not compete with respect to residential rental  
4 dwelling units. 1. As used in this section, the following terms shall  
5 have the following meanings:

6 (a) "Algorithm" means a computational process that uses a set of rules  
7 to define a sequence of operations.

8 (b) "Algorithmic device" means any machine, device, computer program  
9 or computer software that on its own or with human assistance performs a  
10 coordinating function.

11 (c) "Coordinating function" means performing all of the following  
12 subfunctions, provided, however, that a product used for the purpose of  
13 establishing rent or income limits in accordance with the emergency  
14 tenant protection act of nineteen seventy-four, as amended, the rent  
15 stabilization law of nineteen sixty-nine, as amended, the city rent and  
16 rehabilitation law, the emergency housing rent control law, or an  
17 affordable housing program administered by a federal, state, or local  
18 government or other political subdivision shall not be considered to be  
19 performing a coordinating function:

20 (i) collecting historical or contemporaneous prices, supply levels, or  
21 lease or rental contract termination and renewal dates of residential

EXPLANATION--Matter in italics (underscored) is new; matter in brackets  
[-] is old law to be omitted.

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1 dwelling units from two or more residential rental property owners or  
2 managers, provided that at least two such residential rental property  
3 owners or managers are not wholly-owned subsidiaries of the same parent  
4 entity or otherwise owned or managed by the same residential rental  
5 property owner or manager;

6 (ii) analyzing or processing the information described in subparagraph  
7 (i) of this paragraph using a system, software, or process that uses  
8 computation, including by using that information to train an algorithm;  
9 and

10 (iii) recommending rental prices, lease renewal terms, ideal occupancy  
11 levels, or other lease terms and conditions to a residential rental  
12 property owner or manager.

13 (d) "Residential rental property owner or manager" means any individ-  
14 ual or entity that owns or is a beneficial owner of, directly or indi-  
15 rectly, in whole or in part, or manages one or more residential rental  
16 dwelling units in New York state.

17 2. It shall be an unlawful violation of this article for a person or  
18 entity to knowingly or with reckless disregard facilitate an agreement  
19 between or among two or more residential rental property owners or  
20 managers to not compete with respect to residential rental dwelling  
21 units, including by operating or licensing a software, data analytics  
22 service, or algorithmic device that performs a coordinating function on  
23 behalf of or between and among such residential rental property owners  
24 or managers.

25 3. It shall be considered an unlawful agreement in violation of this  
26 article for a residential rental property owner or manager to knowingly  
27 or with reckless disregard set or adjust rental prices, lease renewal  
28 terms, occupancy levels, or other lease terms and conditions in one or  
29 more of their residential rental properties based on recommendations  
30 from a software, data analytics service, or algorithmic device perform-  
31 ing a coordinating function.

32 4. Nothing in this section shall impair or limit the applicability of  
33 any other part of this article or any other state law.

34 § 2. This act shall take effect on the sixtieth day after it shall  
35 have become a law.